

GREAT LAKES CONSTRUCTION UNDERWRITERS

a division of Cascadia Mutual Property & Casualty
330 East Kilbourn Avenue, Suite 900, Milwaukee, WI 53202 | NAIC No. 22687

**BUILDERS RISK - RENOVATION AND NEW CONSTRUCTION
DECLARATIONS****POLICY NUMBER: BR-6612-77309****POLICY PERIOD:** From 02/01/2025 to 02/01/2027 (24 months), 12:01 A.M. Standard Time at the project site**FORM TYPE:** Completed Value, Non-Reporting, Single Project**ISSUED:** 01/21/2025**NAMED INSUREDS** (as their interests may appear):

Sundale Property Group, LLC Project Owner / Developer
Northfield Senior Living Partners, LP Project Owner Entity
Halcyon Builders, LLC General Contractor / Construction Manager
All subcontractors of every tier, for their interest in project property only

MAILING ADDRESS (First Named Insured):

Sundale Property Group, LLC
9 East Fourth Street, Suite 1450
Tulsa, OK 74103

GENERAL CONTRACTOR:

Halcyon Builders, LLC
2410 West Beltline Highway, Suite 300
Madison, WI 53713
Wisconsin Dwelling Contractor Cert. No. 1355109 | Contact: Owen Kastellec-Brandt, Project Executive

PRODUCER: Kettleridge Risk Partners, LLC

Producer Code OK-1147

Broker Reference: KRP/CAR/2025/6612

320 South Boston Avenue, Suite 700, Tulsa, OK 74103

Producer: Marcus Adeyemi-Croft | (918) 555-0347 | madeyemi@kettleridgerisk.example

PROJECT DESCRIPTION**PROJECT NAME:** Northfield Senior Living**PROJECT ADDRESS:** 1725 Northfield Commons Drive
Madison, WI 53704 (Dane County)**SCOPE:** Construction of a new 132-unit senior living community comprising:

Building A - Independent living, four stories, 84 units, wood frame over Type I podium
Building B - Assisted living and memory care, two stories, 48 units, wood frame on slab
Building C - Commons building: dining, wellness centre, salon, administrative offices, 18,400 sq ft
Plus: central plant with two 500 MBH condensing boilers, emergency generator, covered drop-off canopy, 96 surface stalls and 22 enclosed garage stalls, walking paths, retention pond, and full site utilities.

Includes: partial renovation and structural tie-in to an EXISTING 1968 single-story clinic building (11,200 sq ft) which will be converted to the therapy wing. Existing structure values are insured under this policy per End. GLC-EXIST 380 as scheduled below.

CONSTRUCTION TYPE: Type V-A wood frame over Type I-A podium (Bldg A); Type V-B (Bldg B); Type II-B (Bldg C). NFPA 13 sprinkler protection throughout at completion.
Exterior: fibre cement panel, cultured stone base, asphalt shingle and TPO roofing.

CONTRACT: AIA A133-2019 Construction Manager at Risk with GMP, dated 12/12/2024**GMP CONTRACT SUM:** \$ 41,300,000**OWNER-FURNISHED FF&E:** \$ 2,600,000**EXISTING STRUCTURE VALUE** (therapy wing, ACV): \$ 1,850,000**SOFT COSTS DECLARED:** \$ 4,400,000**NOTICE TO PROCEED:** 02/10/2025**SCHEDULED SUBSTANTIAL COMPLETION:** 11/30/2026**LIMITS OF INSURANCE**

LIMIT OF INSURANCE - PER OCCURRENCE (project property, all coverages combined) \$ 43,900,000

Existing Structure - therapy wing (Actual Cash Value basis, End. GLC-EXIST 380)	\$ 1,850,000
Soft Costs and Delay in Completion (End. GLC-SOFT 410)	\$ 4,400,000

SUBLIMITS (included within the applicable Limit unless stated otherwise):

Off-Site Storage - any one location (declared: Vanguard Logistics, 3900 Hanson Road, Madison, WI)	\$ 3,000,000
Off-Site Storage - undeclared locations	\$ 500,000
Property in Transit	\$ 750,000 per conveyance
Temporary Structures, Scaffolding, Formwork and Site Trailers	\$ 1,000,000
Theft of Materials, Supplies and Fixtures Awaiting Installation	\$ 500,000 per occurrence
Theft of Copper, Wire, Cable, HVAC Units and Appliances	\$ 200,000 per occurrence
Vandalism and Malicious Mischief	\$ 500,000 per occurrence
Water Damage - Rain, Snowmelt and Water Intrusion prior to dry-in	\$ 1,500,000 per occurrence
Water Damage - Testing of Plumbing and Fire Protection Systems	\$ 1,500,000 per occurrence
Freeze / Frozen Pipe Damage (subject to Freeze Warranty below)	\$ 1,000,000 per occurrence
Debris Removal	25% of loss, plus \$ 250,000
Pollutant Cleanup and Removal	\$ 100,000 annual aggregate
Ordinance or Law - A, B and C combined	\$ 1,500,000
Valuable Papers, Plans, Drawings and Project Records	\$ 300,000
Landscaping, Sod, Trees and Site Plantings	\$ 150,000
Expediting and Extra Expense	\$ 750,000
Mould and Fungus resulting from a reported covered water event	\$ 100,000 annual aggregate
Fire Extinguishing Expense and Fire Department Service Charge	\$ 75,000
Claim Preparation Costs	\$ 100,000

SOFT COSTS AND DELAY IN COMPLETION (End. GLC-SOFT 410):

Named Insureds for Soft Costs: Sundale Property Group, LLC and Northfield Senior Living Partners, LP

Aggregate Limit	\$ 4,400,000
Indemnity Period	12 months
Time Deductible	45 consecutive days

Covered: construction loan interest, extended general conditions, re-inspection and permit fees, additional design and consulting fees, real estate taxes, insurance premiums, pre-opening marketing and lease-up costs, and additional costs to re-schedule and re-mobilise the trades.

Excluded: liquidated damages, penalties, loss of revenue, and any cost that would have been incurred absent the loss.

DEDUCTIBLES

All Other Perils	\$ 25,000 per occurrence
Water Damage - rain, snowmelt, water intrusion, testing	\$ 50,000 per occurrence
Freeze / Frozen Pipe	\$ 50,000 per occurrence
Wind and Hail	\$ 50,000 per occurrence
Theft, Vandalism and Malicious Mischief	\$ 25,000 per occurrence
Loss to Existing Structure	\$ 50,000 per occurrence
Collapse During Erection	\$ 50,000 per occurrence
Soft Costs / Delay in Completion	45 day time deductible

COVERED CAUSES OF LOSS

All risks of direct physical loss of or damage to insured project property while at the project site, in transit, or at a declared or undeclared off-site storage location, except as excluded. Perils contemplated include fire, lightning, explosion, windstorm, hail, tornado, weight of snow, ice or sleet, ice damming, freeze and frozen pipe (subject to the Freeze Warranty), riot and civil commotion, vandalism, malicious mischief, theft and burglary, vehicle and aircraft impact, dropped loads and crane or rigging failure, collapse during erection, accidental discharge of water from temporary or permanent systems, rain and snowmelt intrusion into an incomplete structure, smoke, and sudden and accidental damage arising from testing and commissioning.

EXCLUSIONS (abridged)

1. Faulty or defective workmanship, design, plan, specification or materials - the cost of making good the defective element itself. Resulting physical damage from a Covered Cause of Loss to other property is insured (LEG 2/96 wording, End. GLC-DEF 305).
2. Rework, correction, and the cost of remedying work that fails inspection or does not conform to the contract documents.

3. Delay, loss of use, loss of revenue, liquidated damages and consequential loss, except as provided by the Soft Costs and Delay in Completion endorsement.
4. Contractors' and subcontractors' tools, mobile equipment, cranes, hoists, lifts, vehicles and equipment not destined to become a permanent part of the project.
5. Property of employees, personal effects and jobsite office contents in excess of \$ 25,000.
6. Wear and tear, gradual deterioration, corrosion, rust, dampness of atmosphere, extremes of temperature other than a covered freeze event, marring, scratching and denting.
7. Mysterious disappearance, unexplained shortage and inventory shortage.
8. Dishonest or criminal acts of any insured, employee, or subcontractor of any tier.
9. Loss or damage to any portion of the project after it has been occupied or put to its intended use, unless a Partial Occupancy Permit has been issued by us in writing.
10. Flood, surface water, and water that backs up from sewers or drains.
11. Earth movement, earthquake, subsidence, settling and soil compaction, except settling directly caused by a Covered Cause of Loss.
12. Loss caused by or resulting from failure to comply with any warranty stated in this policy, including the Freeze Warranty and the Site Security Warranty.
13. Mould, fungus, wet rot, dry rot and bacteria, except as sublimited.
14. Damage to the existing structure from any cause other than a Covered Cause of Loss, and any pre-existing defect, deterioration or code deficiency in the existing structure.
15. Asbestos, lead paint and hazardous material abatement, testing, handling and disposal, whether or not discovered as a result of a covered loss.
16. War, terrorism (unless elected), nuclear hazard, communicable disease and cyber incident.

FREEZE WARRANTY AND SITE SECURITY WARRANTY (End. GLC-WAR 615)

FREEZE WARRANTY. From November 1 through April 15 of each year during the policy period, the Insureds warrant that: (a) temporary heat will be maintained at a minimum of 45 degrees F in all enclosed areas containing water-filled piping, or all such piping will be drained and blown out; (b) a daily log of temporary heat operation and interior temperatures will be kept and made available to us; (c) a designated individual will inspect the site each non-working day and after any interruption of temporary heat or electrical power exceeding four (4) hours; and (d) any interruption of temporary heat exceeding twelve (12) hours will be reported to us. Coverage for freeze and frozen pipe damage is suspended during any period of non-compliance.

SITE SECURITY WARRANTY. The site will be fully fenced with lockable gates, illuminated, and monitored by a recorded camera system with off-site storage of footage, or patrolled nightly with a written log, from the commencement of vertical construction. High-value materials (copper wire, HVAC condensing units, appliances, plumbing fixtures) will be stored in a locked container or a secured interior room until installation.

FORMS AND ENDORSEMENTS ATTACHED

GLC-BR 100 (07-24)	Builders Risk Coverage Form - Completed Value
GLC-EXIST 380 (07-24)	Existing Structure Coverage - Renovation, Actual Cash Value
GLC-DEF 305 (07-24)	Defects Exclusion - LEG 2/96
GLC-SOFT 410 (07-24)	Soft Costs and Delay in Completion
GLC-TRAN 320 (07-24)	Transit and Off-Site Storage Extension - Declared and Undeclared
GLC-TEST 330 (07-24)	Testing and Commissioning
GLC-TEMP 340 (07-24)	Temporary Structures and Scaffolding
GLC-FRZ 345 (07-24)	Freeze and Frozen Pipe Coverage
GLC-ORD 275 (07-24)	Ordinance or Law
GLC-OCC 360 (07-24)	Partial Occupancy Permit - Written Consent Required
GLC-WAR 615 (07-24)	Freeze Warranty and Site Security Warranty
GLC-ASB 520 (07-24)	Asbestos, Lead and Hazardous Materials Exclusion
GLC-CYB 501 (01-25)	Cyber Incident Exclusion
GLC-LP 505 (07-24)	Loss Payable and Mortgagee Provisions
GLC-WI STAT (04-24)	Wisconsin Amendatory Endorsement
GLC-TRIA 900 (01-21)	Terrorism Risk Insurance Act - Coverage ACCEPTED, premium \$ 1,940

NOT PROVIDED: Flood, Earth Movement, Contractors Equipment.

LOSS PAYEES AND ADDITIONAL INTERESTS

Construction Lender / Mortgagee, loss payable as its interest may appear:

Badger State Community Development Bank
 Construction Loan No. CD-2024-11907, dated 12/20/2024
 1 South Pinckney Street, Suite 700, Madison, WI 53703

HUD / Agency Interest:

Wisconsin Housing and Economic Development Authority (WHEDA), Tax Credit Allocation WI-2024-0219

Additional Interest - Owner-Furnished FF&E and Kitchen Equipment:

Northfield Senior Living Partners, LP

CONDITIONS AND CLAIM REPORTING

1. NOTICE. Notice of any loss or occurrence must be given as soon as practicable and within five (5) business days of discovery. Notice may be given by any Named Insured, by the General Contractor, or by the producer of record, and should state the project name and address, the policy number if known, the date and time of loss, and a description of the damage.
Great Lakes Construction Underwriters - Claims
buildersrisk.claims@cascadiamutual.example | (800) 555-0288, option 3
2. LAW ENFORCEMENT. Theft, vandalism and malicious mischief must be reported to the police within twenty-four (24) hours of discovery; a copy of the report must be furnished to us.
3. MITIGATION. The Insureds must take immediate steps to prevent further damage. Emergency water extraction, drying, temporary heat, shoring, tarping and board-up up to \$ 25,000 may be incurred without prior approval. Moisture readings must be documented daily during any drying operation.
4. DOCUMENTATION. On request the Insureds must provide the contract documents, the current schedule of values, pay applications, the daily jobsite reports for the seven days before the loss, the temporary heat log, subcontractor certificates of insurance, and all photographs and video of the loss site.
5. SUBROGATION AND WAIVER. This policy recognises the waiver of subrogation contained in Article 11 of the AIA A133-2019 contract as between the Owner, the Construction Manager and the subcontractors, to the extent of insured loss. We retain subrogation rights against manufacturers, suppliers, design professionals and any party not a Named Insured.
6. PROOF OF LOSS within ninety (90) days of request. SUIT LIMITATION: two (2) years from date of loss.
7. SCHEDULE. Any extension of the construction schedule beyond 02/01/2027 must be requested at least thirty (30) days in advance and is subject to additional premium.
8. PREMIUM. \$ 178,300 for the 24 month term. Rate \$ 0.406 per \$ 100 of completed value.

Countersigned: _____ Date: 01/21/2025